ASSET UNDER MANAGEMENT

Too small AUM or scheme size would mean that the fund has a higher expense ratio as the expense would be distributed over a small size of unitholders. At the same time, a significantly large AUM will limit the number of investment options and will therefore lead to underperformance of the fund. So, we will follow the ideal AUM size as specified in the table's range. This should remain valid for the next 4 years i.e. until 2024 after which we will have to expand these ranges. When evaluating the ideal AUM size, we should stick in the range provided here.

CATEGORY	AUM SIZE
Small Cap	500-2000
Mid Cap	2000-5000
Large Cap	5000-10000
Debt	Min. 500

FUND STYLE OF BOND FUNDS

We saw that Morningstar uses a 3x3 matrix to evaluate debt as well as equity funds. For debt, they use credit quality vs. interest rate sensitivity matrix. For individual investors, they must always prefer to invest in high-quality funds. Individual investors should stay away from low credit quality bonds. Next, if we are buying for the short term (less than 2 years), we should go for low-interest rate sensitivity, for medium-term (3-7 years), opt for moderate sensitivity and lastly, for the long term (more than 7 years), go for high-interest rate sensitivity in bond fund style.

TOP 10% ASSETS

In bonds, we must be as diversified as possible. So, the top 10 holdings should be less than 40%. In case we want even higher safety, we must buy government bonds instead of corporate/individual bonds.